DAOLIN BAI

Department of Economics, The Chinese University of Hong Kong
daolinbai@link.cuhk.edu.hk

Academic Job Market 2026–2027

Education

2021–2027 **The Chinese University of Hong Kong**
Ph.D. in Economics, expected 2027
Advisors: Kang Shi and Liugang Sheng

2017–2021 **Central University of Finance and Economics**
B.S. in Economics, with first-class honors

Research Fields

Fields Macroeconomics; International Macroeconomics
Interests Monetary and Fiscal Policy; Household Heterogeneity

Job Market Paper

"Revising the Separation: Optimal Monetary-Fiscal Mix in Open Economy"
(with Kang Shi, Juanyi Xu, and Vivian Zhanwei Yue), October 2026.

This paper studies the optimal cooperative monetary–fiscal policy mix in a two-country New Keynesian open economy with heterogeneous households and transfer-based redistribution. We show that, given imperfect international risk sharing, consumption inequality affects external adjustment, the terms of trade, and inflation dynamics. As a result, the separation principle breaks down: optimal stabilization of inflation and output cannot be decoupled from the cross-country allocation of consumption inequality. In the cooperative optimum, monetary and fiscal policy jointly implement a non-zero exposure of relative consumption inequality to shocks, implying that full insurance is generally not optimal even when transfer instruments are available. We further show that this interaction remains central under Local Currency Pricing (LCP), where deviations from the law of one price strengthen the welfare relevance of coordinated monetary and fiscal responses.

Working Papers

"Fiscal Multipliers in Open Economies with Heterogeneous Households"
(with Kang Shi, Juanyi Xu, and Vivian Zhanwei Yue), October 2026.

Household heterogeneity can either amplify or dampen fiscal multipliers in open economies, depending on the monetary regime. This paper develops a tractable two-country, two-agent New Keynesian model that yields closed-form solutions for fiscal multipliers and international spillovers. Under strict inflation stabilization, a larger hand-to-mouth share strengthens terms-of-trade appreciation, lowers the domestic multiplier, and raises international spillovers. With constant real interest rates, this relative-price channel weakens and heterogeneity amplifies both effects. We derive an analytical threshold for the monetary responsiveness in a Taylor rule that governs this reversal. Full stabilization under cooperative monetary policy requires Keynesian tax incidence aligning with the composition of government spending. The mechanism continues to operate under local currency pricing and alternative calibration. Cross-country evidence supports significantly lower multipliers and short-run terms-of-trade appreciation in economies with larger hand-to-mouth shares under flexible regimes.

Teaching Experience

Teaching Assistant, The Chinese University of Hong Kong

2025R2 **Corporate Finance** (M.Sc.; ECON5491A/B)
Instructor: Julan Du

2025R2 **International Finance** (M.Sc.; ECON5451)
Instructor: Haichun Ye

Research and Policy Experience

Jul.–Oct. 2023 **Ministry of Finance, China**, Beijing
Project Intern

- Researched government bonds, monetary-base provision, and monetary–fiscal coordination.

Jul.–Nov. 2022 **China International Capital Corporation (CICC)**, Beijing
Macroeconomic Research Intern

- Conducted macroeconomic research on the U.S. dollar, recession risks, inflation, and interest rates.

Fellowships and Awards

2021–2025 Postgraduate Scholarship, The Chinese University of Hong Kong

2021 Outstanding Graduate of Beijing, Beijing Municipal Education Commission

2019, 2021 First-Class Student Scholarship, Central University of Finance and Economics

2019, 2020 Merit Student, Central University of Finance and Economics

2019 National Scholarship, Ministry of Education, China

2018 First Prize, National College Mathematics Competition, Chinese Mathematical Society

Skills and Languages

Software MATLAB, Stata, R, LaTeX

Languages Mandarin (native); English (fluent)

References

Kang Shi
Chair Professor
PBC School of Finance
Tsinghua University
shik@pbcsf.tsinghua.edu.cn

Liugang Sheng
Associate Professor
Department of Economics
The Chinese University
of Hong Kong
lsheng@cuhk.edu.hk

Juanyi Xu
Associate Professor
Department of Economics
The Hong Kong University
of Science and Technology
jennyxu@ust.hk

Last updated: October 10, 2026